



United States
Attorney's Office
District of Minnesota



Defendants Charged in First Wave of Housing Stabilization Fraud Cases

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For Immediate Release

U.S. Attorney's Office, District of Minnesota

MINNEAPOLIS – Eight defendants have been federally charged with wire fraud for their roles in a massive housing stabilization fraud scheme, announced Acting U.S. Attorney Joseph H. Thompson.

"Today we announce the first wave of charges in a massive fraud in Minnesota's housing stabilization program," said Acting U.S. Attorney Joseph H. Thompson. "I want to be clear on the scope of the crisis. What we see are schemes stacked upon schemes, draining resources meant for those in need. It feels never ending. I have spent my career as a fraud prosecutor and the depth of the fraud in Minnesota takes my breath away. The fraud must be stopped."

The Scheme to Defraud the Housing Stabilization Services Program

As set forth in the charging documents, the defendants devised and carried out schemes to defraud federally funded health care benefits collected within Minnesota's Housing Stability Services Program. The HSS Program dates back to July 2022, when Minnesota became the first state in the country to offer Medicaid coverage for Housing Stabilization Services. The Program was designed to help people with disabilities, including seniors and people with mental illnesses and substance use disorders, find and maintain housing. Rather than provide such help, the defendants obtained and misappropriated millions of dollars in program funds that were intended as reimbursements for services provided to those people.

The Program permitted reimbursements for four principal kinds of services: (1) housing consultation; (2) housing transition services; (3) housing sustaining services; and (4) moving expenses.

By design, the Program had low barriers to entry for new providers and for beneficiaries. The Program also had minimal requirements for reimbursement. The HSS Program's low barriers to entry and minimal records requirements for reimbursement combined to make the Program susceptible to fraud.

Before the Program's inaugural year, the Program was predicted to cost about \$2.6 million annually. That proved to be inaccurate. In 2021 alone, the Program paid out more than \$21 million in claims. That

figure ballooned in the following years: \$42 million in 2022, \$74 million in 2023, \$104 million in 2024. In just the first six months of 2025, the Program paid out another \$61 million.

A federal investigation revealed that many Program providers defrauded the system. These providers acquired the names of Program-eligible beneficiaries from facilities like addiction treatment centers. They then used those individuals' information to submit inflated and fake reimbursement claims. In this fashion, the providers acquired substantial pay-outs of taxpayer money to which they were not entitled. They used those ill-gotten gains for their own enrichment.

United States v. Moktar Aden et al., 25-cr-349 (MJD/JFD)

(Brilliant Minds Services LLC)

- **Defendant Moktar Hassan Aden, age 30**
- **Defendant Mustafa Dayib Ali, age 29**
- **Defendant Khalid Ahmed Dayib, age 26**
- **Defendant Abdifitah Mohamud Mohamed, age 27**

In April 2022, Aden and his co-defendants, Dayib and Ali completed paperwork to enroll Aden's company, called Brilliant Minds Services LLC, as an HSS Provider. With Abdifitah Mohamed, those defendants then purported to service individuals in need through Brilliant Minds from an office suite in the Griggs-Midway Building in St. Paul, Minnesota. Mohamed also operated another program provider called Foundation First Services LLC, which has offices in the same building. Through Foundation First, Mohamed claimed to provide Program-reimbursable consultation services to other HSS providers, including Brilliant Minds.

The defendants, along with their employees at Brilliant Minds, were supposed to provide housing consulting, transitioning, and sustaining services to qualifying people in need. Instead, the defendants caused the submission of fake and inflated bills and provided only a fraction of their claimed total.

In all, between approximately September 2022 and April 2025, Brilliant Minds submitted reimbursement claims totaling about \$2.3 million. From such claims, in 2024, Brilliant Minds LLC was one of the ten highest-billing HSS providers state-wide.

The defendants diverted some of those taxpayer dollars to their conspirators, and they kept much for themselves. From about April 2023 through about May 2025, each of the defendants personally pocketed between about \$300,000 and \$400,000 from Brilliant Minds. The defendants also shared a Platinum American Express credit card, on which they accrued nearly half a million dollars in charges to fund and enhance their lifestyles. The defendants paid those charges using Brilliant Mind's company accounts.

United States v. Christopher Falade, et al., 25-cr-351 (JMB/DJF)

(Faladcare Inc.)

- **Defendant Christopher Adesoji Falade, age 62**
- **Defendant Emmanuel Oluwademilade Falade, age 32**

Christopher Falade and his son, Emmanuel Falade, worked together to run Faladcare Inc. as a provider in the HSS Program.

The Falades, along with their employees at Faladcare, were supposed to provide housing consulting, transitioning, and sustaining services to qualifying people in need.

Instead, over the course of years, the Falades and their conspirators created and submitted Program reimbursement claims that were inflated and fraudulent. By doing so, Faladcare received Program payments far exceeding the HSS services they had actually provided. In all, the Falades claimed to service about 100 different beneficiaries and for such services claimed to be entitled to over \$2.2 million. The Falades diverted much of their fraud proceeds to their conspirators, including to their Faladcare employees.

United States v. Asad Ahmed Adow, 25-cr-354 (ADM)

(Leo Human Services LLC)

- **Defendant Asad Ahmed Adow, age 26**

Asad Adow was the owner and principal of Leo Human Services LLC, a company based out of a business suite in Brooklyn Park, Minnesota.

Adow operated Leo as an HSS Provider from a residence in Blaine, Minnesota and a business suite in Brooklyn Park, Minnesota.

Asad Adow directed his employees at Leo Human Services to bill as much as they could. At the same time, Adow made clear to those employees that he would not scrutinize the purported billable hours his employees submitted. In this way, Asad Adow incentivized his employees, who were paid hourly wages, to inflate their hours. As the company owner and principal, Asad Adow made more money when his employees overrepresented their billings—which Asad Adow then submitted for Program reimbursement.

Asad Adow also trained his employees at Leo to create notes detailing the purported services they provided. The HSS Program does not require providers to submit such notes to receive reimbursements. However, Asad Adow directed his employees to create service notes so that the company would have them in case DHS ever conducted an audit. Once again, Asad Adow knew that his employees were manufacturing notes that falsely represented their having provided Program services.

Ultimately, based on inflated and fraudulent claims, Leo Human Services received about \$2.7 million in Program funds based on the company's claims to have provided services to about 250 beneficiaries.

Asad Adow diverted much of those taxpayer dollars to his conspirators, including his employees at Leo and his brother, Anwar Adow. Asad Adow also spent proceeds from his scheme to invest in real estate in Kenya, to lease an apartment in Roseville, Minnesota and a 2024 BMW X4, and to fund his lifestyle.

United States v. Anwar Ahmed Adow, 25-cr-353 (PAM)

(Liberty Plus LLC)

- **Defendant Anwar Ahmed Adow, age 25**

Anwar Adow was the owner and principal of Liberty Plus LLC, a company based out of a business suite in Roseville, Minnesota. In April 2024, Anwar Adow applied to be an HSS provider. Anwar Adow thereafter purported to service individuals in need through Liberty from a business suite in Roseville, Minnesota.

Anwar Adow directed his employees at Liberty Plus to bill as much as they could. At the same time, Anwar Adow made clear to those employees that he would not scrutinize the purported billable hours his employees submitted to him. In this way, Anwar Adow incentivized his employees, who were paid hourly wages, to inflate their hours. As the company owner and principal, Anwar Adow made more money when his employees overrepresented their billings—which Anwar Adow then submitted for Program reimbursement.

Ultimately, based on inflated and fraudulent claims, Liberty Plus received more than \$1.2 million in Medicaid funds for services purportedly provided to approximately 200 beneficiaries.

Anwar Adow diverted much of those taxpayer dollars to his conspirators, including his employees at Liberty and his brother, Asad Adow. Anwar Adow also spent proceeds from his scheme to lease a 2023 Mercedes-Benz CLA, to make investments, and to fund his lifestyle.

"Fraud in the Housing Stabilization Services program not only drains money from hardworking taxpayers, it also deprives vulnerable populations of resources to maintain safe housing," said Special Agent in Charge Alvin M. Winston Sr. of FBI Minneapolis. "Exploiting this program undermines the financial and physical security of the community amid a housing and addiction crisis. The FBI is relentless in working with our law enforcement partners to root out this fraud and prosecute those who enrich themselves at the expense of the community."

"The charges filed today represent another big blow to organized program fraud in Minnesota," said Adam Jobes, Special Agent in Charge, IRS Criminal Investigation, Chicago Field Office. "The Minnesota Housing Stabilization Service program was supposed to be a groundbreaking resource to provide stability, assistance, and dignity to seniors and individuals with disabilities. Instead, program funds were diverted to the pockets of greedy opportunists. IRS-CI is proud to partner with our federal and state

agencies in investigations like these and will continue to provide our expertise and resources to fight back against those who have chosen to make their living exploiting some of our most vulnerable citizens. The public has the right to expect their hard-earned tax dollars are being used judiciously.”

“The fraud detailed in the criminal charges announced today reflects a calculated effort on the part of the defendants to significantly exploit a program designed to serve vulnerable populations and taxpayers at large” said Mario M. Pinto, Special Agent in Charge of the U.S. Department of Health and Human Services, Office of Inspector General. “Our agency remains committed to working together with our federal and state law enforcement partners to identify and bring to justice those who defraud our nation’s healthcare programs.”

“Funding provided through Housing Stabilization Services is intended to help Minnesotans achieve a stable, housed future. When criminals selfishly defraud these programs they are not only committing a crime, but they are depriving others of services that can be life-changing, and defrauding all taxpaying Minnesotans,” Minnesota Bureau of Criminal Apprehension Superintendent Drew Evans said.

This case is the result of an investigation conducted by the Federal Bureau of Investigation, Health and Human Services, Office of Inspector General, and the Internal Revenue Service – Criminal Investigation, with assistance from the Bureau of Criminal Apprehension, the Attorney General’s Medicaid Fraud Control Unit, and the United States Postal Inspection Service.

Acting U.S. Attorney Joseph H. Thompson and Assistant U.S. Attorney Daniel W. Bobier are prosecuting the case.

An indictment is merely an allegation, and the defendants are presumed innocent until proven guilty beyond a reasonable doubt in a court of law.

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